OPPENHEIMER

EQUITY RESEARCH

QUARTERLY UPDATE

September 23, 2026

INDUSTRIAL/CAPITAL GOODS/INDUSTRIAL MULTI-INDUSTRY

Stock Rating:

OUTPERFORM

12-18 mo. Price Target	$300.00
OSIS - NASDAQ	$200.84

3-5 Yr. EPS Gr. Rate	12%
52-Wk Range	$311.72-$186.50
Shares Outstanding	17.0M
Float	16.0M
Market Capitalization	$3,201.8M
Avg. Daily Trading Volume	247,661
Dividend/Div Yield	NA/NM
Book Value	$49.26
Fiscal Year Ends	Jun
2027E ROE	21.0%
LT Debt	$998.5M
Preferred	NA
Common Equity	$833M
Convertible Available	Yes

EPS Diluted	Q1	Q2	Q3	Q4	Year	Mult.
2025A	1.25	2.42	2.44	3.24	9.36	21.5x
2026A	1.42	2.58	2.60	3.78	10.35	19.4x
2027E	1.60	2.65	3.00	4.05	11.30	17.8x
2028E	—	—	—	—	12.60	15.9x

OSI Systems, Inc.

Banner Projects Win Streak Anchors Long-Term Compounding Continuity

SUMMARY

We favor OSIS shares particularly, with drivers of the company's long-term sturdy/stable compounding track-record well-situated to perpetuate. Shares have registered a notably steep pullback (see relative valuation contraction, Exhibits 1-2), partly reflecting previous multiple expansion highs that were perhaps aggressive, but now at ~18x FY27E EPS/<20X FY26A, we see OSI's stable of protected growth drivers as undervalued. Large and regular US Customs & Border Protection programs and defense initiatives are reinforcing backlog growth visibility and adding redundancies to FY27-28 growth estimates. The company's strong FY27 services growth expectation (we estimate MT%+ FY27 organic growth likely) benefits from a materially formulaic function of large installed base expansion over recent years; further supported by high retention, installed base lifecycle service intensity trends, and pricing.

KEY POINTS

- For example, the striking $90M RF order last week for USG customers includes an initial allocation for related support services. We do not know the rollout timeline of his new $90M project but orders (especially large project variety) often include ~1Y+ of initial services terms before rolling off warranty into steady state renewal cadence. In this manner, we anticipate high-visibility multi-year structural services revenue growth.
- Services revenue carries strong margin mix, providing measures of (1) visibility to margin performance and EPS guidance, and (2) latitude for strategic growth investment, like the continuing investments into production capacity and commercial initiatives for the RF business and for O&M segment over the past year (into core Security too, but we believe that business long-established in the operating model of modular flex-capacity optimization).
- We think the Middle-East revenue gap in FY4Q is really the single speed bump in immediate investor focus; we believe significantly diminished Middle East expectations in FY27 revenue guidance for +5-8% revenue growth. The $90M RF business win is for separate USG customer programs than the $235M for next-generation radar/long-range target tracking applications; the $90M win is for communications, including very low-frequency secure systems.
- Recall, the RF business joined OSI with ~$50M revenue run rate, and won 5 projects totaling ~$150M during ~year-1 (both domestic and international), prior to these significantly larger awards. The foreground for additional material RF wins, including follow-ons for defense//Golden Dome remains promising. We anticipate the two 5Y CBP IDIQs worth up to $285M mostly convert to orders later in FY27-FY28; they are sole-sourced/unusual.
- OSIS delivered by far all-time record FCF in FY26, mainly from FY4Q catch-up on Mexico collections; OSIS repurchased 565K shares/3.3% in FY4Q at ~$219/share average; we anticipate active utilization against ~1.1M remaining authorization with shares having pulled back further. OSI's 9Y EPS CAGR is 15%, with FY20 lowest at +7%; we like setup for further FY1Q27 backlog growth, share repurchase, and FY27 estimates visibility.

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For analyst certification and important disclosures, see the Disclosure Appendix.

Stock Price Performance



INVESTMENT THESIS

Our Outperform rating reflects leadership position in cargo, ports, and vehicle inspection markets, with broad-based global pipeline activity and increased attention to Security screening infrastructure. We are watchful for potential Security operating efficiency upside long term as scale/execution persist.

BASE CASE ASSUMPTION

- OSI's global installed base and operations provide strategic leverage vs. more regional competitors that help underwrite scalable technology advances
- Continued strong bookings and pipeline support sustainable revenue growth profile at Security

CATALYSTS

- Favorable government regulatory announcements; robust US demand for Security Systems
- Material balance sheet activity
- FCF cycle

UPSIDE SCENARIO

- Ongoing O&M execution trends
- Any incidence of faster than expected NPI traction at Healthcare
- Services growth supporting margin upside at Security

DOWNSIDE SCENARIO

- Customer-led or macro-induced project deferrals/cancellations
- Major trade disruptions impact cargo/ports/borders end-markets

PRICE TARGET CALCULATION

Our $300 price target is based on ~24x our FY28E, vs. current ~18x FY27E. Our PT suggests 49% upside potential.

KEY RISKS TO PRICE TARGET

Key risks to our PT include: 1) chunky orders and revenues at Security; 2) high volume sensitivity at Healthcare; 3) minimal manufacturing redundancy; and 4) acquisition/capital allocation risk.

COMPANY DESCRIPTION

OSI Systems designs and manufactures specialized electronic systems and components for critical applications in homeland security, healthcare, defense, and aerospace markets.

Exhibit 1. Relative Valuation F1 P/E TTM (1.46 average)



Source: FactSet

Exhibit 2. Relative Valuation F1 P/E 2-yr (1.35 average)



Source: FactSet

OSI Systems, Inc.

Annual Sales and Profits by Segment, 2022-2028E

Christopher Glynn

($ millions)

Segment Revenues	**2022**	**2023**	**2024**	**2025**	**2026**	**2027E**	**2028E**
Security	663	760	1,043	1,196	1,248	1,323	1,402
Healthcare	206	190	171	168	163	168	176
Optoelectronics and Manufacturing	367	387	384	412	451	478	507
Intersegment	(52)	(60)	(60)	(63)	(76)	(75)	(75)
Total Segment Revenues	**$1,183**	**$1,278**	**$1,539**	**$1,713**	**$1,786**	**$1,893**	**$2,010**
Y-O-Y Change	3.2%	8.0%	20.4%	11.3%	4.3%	6.0%	6.1%
Segment Profits							
Security	110	128	196	222	223	238	259
Healthcare	26	15	8	6	8	7	12
Optoelectronics and Manufacturing	48	52	50	54	60	65	70
Corporate	(41)	(39)	(40)	(40)	(37)	(44)	(48)
Intersegment	0	1	(2)	(1)	-	-	-
Segment Profits	**$143**	**$158**	**$212**	**$241**	**$253**	**$266**	**$294**
Y-O-Y Change	1.1%	10.6%	34.5%	13.5%	5.2%	4.8%	10.6%
Operating Margin	12.1%	12.3%	13.8%	14.1%	14.2%	14.0%	14.6%
Interest and Other Expense, net	8.4	19.5	27.8	31.4	21.9	16.0	15.0
Pretax Income	**$134**	**$138**	**$184**	**$209**	**$231**	**$250**	**$279**
Income taxes	30.4	31.5	43.2	48.6	52.6	59.6	66.9
Income Tax Rate	22.6%	22.8%	23.4%	23.2%	22.7%	23.9%	24.0%
Adjusted Net Income	**$104**	**$107**	**$141**	**$161**	**$179**	**$190**	**$212**
Net Margin	8.8%	8.4%	9.2%	9.4%	10.0%	10.0%	10.5%
Adjustments	11.5	(15.0)	(13.0)	(11.2)	(24.1)	(10.1)	(10.0)
Reported Net Income	**$115**	**$92**	**$128**	**$150**	**$155**	**$180**	**$202**
Adjusted EPS	**$5.81**	**$6.21**	**$8.13**	**$9.36**	**$10.35**	**$11.30**	**$12.60**
EPS Growth	9.2%	6.9%	30.9%	15.1%	10.5%	9.2%	11.5%
Reported Diluted EPS	**$6.45**	**$5.34**	**$7.38**	**$8.71**	**$8.95**	**$10.70**	**$12.00**
Diluted Share Outstanding	17.9	17.2	17.4	17.2	17.3	16.8	16.8

Source: Company Reports; Oppenheimer & Co. Estimates

OSI Systems, Inc.

Quarterly Sales and Profits by Segment, 2026-2027E

Christopher Glynn

($ millions)

	2026					2027				
Segment Revenues	**1Q26**	**2Q26**	**3Q26**	**4Q26**	**2026**	**1Q27E**	**2Q27E**	**3Q27E**	**4Q27E**	**2027E**
Security	254	335	319	340	1,248	254	325	346	398	1,323
Healthcare	41	37	41	45	163	41	40.2	41	46	168
Optoelectronics and Manufacturing	109	113	111	118	451	115	118	119	126	478
Intersegment	(20)	(20)	(18)	(18)	(76)	(19)	(19)	(19)	(19)	(75)
Total Segment Revenues	**$385**	**$464**	**$453**	**$484**	**$1,786**	**$391**	**$464**	**$487**	**$551**	**$1,893**
Y-O-Y Revenue Change	11.8%	10.5%	2.0%	(4.1%)	4.3%	1.7%	0.0%	7.5%	13.8%	6.0%
Segment Profits										
Security	34	60	58	71	223	36	57	64	82	238
Healthcare	2	1	1	4	8	0	1	1	4	7
Optoelectronics and Manufacturing	13	14	15	17	60	14	15	16	19	65
Corporate	(10.1)	(9.5)	(10.9)	(6.9)	(37.4)	(11.0)	(11.0)	(11.0)	(11.0)	(44.0)
Intersegment	-	-	-	-	-	-	-	-	-	-
Segment Profits	**$40**	**$65**	**$63**	**$86**	**$253**	**$39**	**$63**	**$70**	**$93**	**$266**
Y-O-Y Profit Change	12.5%	3.6%	(0.4%)	7.6%	5.2%	(1.0%)	(3.9%)	11.8%	9.1%	4.8%
Operating Margin	10.3%	14.0%	13.9%	17.7%	14.2%	10.1%	13.5%	14.4%	16.9%	14.0%
Interest and Other Expense, net	7.4	6.4	4.0	4.1	21.9	4.0	4.0	4.0	4.0	16.0
Pretax Income	**$32**	**$59**	**$59**	**$81**	**$231**	**$35**	**$59**	**$66**	**$89**	**$250**
Income taxes	8	14	14	17	53	8	14	16	21	60
Income Tax Rate	23.3%	23.3%	23.7%	21.5%	22.7%	24.0%	24.0%	24.0%	23.7%	23.9%
Adjusted Net Income	**$25**	**$45**	**$45**	**$64**	**$179**	**$27**	**$45**	**$50**	**$68**	**$190**
Net Margin	6.5%	9.7%	9.9%	13.2%	10.0%	6.9%	9.6%	10.4%	12.4%	10.0%
Adjustments	(4)	(6)	(5)	(8.7)	(24)	(2.5)	(2.5)	(2.5)	(2.5)	(10.1)
Reported Net Income	**$21**	**$39**	**$40**	**$55**	**$155**	**$24**	**$42**	**$48**	**$66**	**$180**
Adjusted EPS	**$1.42**	**$2.58**	**$2.60**	**$3.78**	**$10.35**	**$1.60**	**$2.65**	**$3.00**	**$4.05**	**$11.30**
EPS Growth	13.9%	6.7%	6.6%	16.5%	10.5%	12.5%	2.6%	15.3%	7.2%	9.2%
Reported Diluted EPS	**$1.18**	**$2.22**	**$2.33**	**$3.27**	**$8.95**	**$1.45**	**$2.50**	**$2.85**	**$3.90**	**$10.70**
Diluted Share Outstanding	17.5	17.5	17.3	16.9	17.3	16.8	16.8	16.8	16.8	16.8

Source: Company Reports; Oppenheimer & Co. Estimates

OSI Systems, Inc.
Analysis of Operations, 2022-2028E

Christopher Glynn

					2026					2027					
Revenue Growth	**2022**	**2023**	**2024**	**2025**	**1Q26**	**2Q26**	**3Q26**	**4Q26**	**2026**	**1Q27E**	**2Q27E**	**3Q27E**	**4Q27E**	**2027E**	**2028E**
Security	4.7%	14.6%	37.2%	14.7%	13.3%	15.4%	1.4%	(7.4%)	4.3%	0.0%	(3.0%)	8.5%	17.0%	6.0%	6.0%
Healthcare	(3.1%)	(7.4%)	(10.0%)	(1.8%)	9.8%	(18.5%)	(6.9%)	4.8%	(3.3%)	0.0%	10.0%	0.0%	2.7%	3.0%	5.0%
Optoelectronics and Manufacturing	4.8%	5.7%	(0.8%)	7.2%	11.9%	11.7%	10.1%	4.6%	9.4%	5.0%	5.0%	7.0%	6.9%	6.0%	6.0%
Total Revenue Growth	3.2%	8.0%	20.4%	11.3%	11.8%	10.5%	2.0%	(4.1%)	4.3%	1.7%	0.0%	7.5%	13.8%	6.0%	6.1%
Segment % of Revenue	**2022**	**2023**	**2024**	**2025**	**1Q26**	**2Q26**	**3Q26**	**4Q26**	**2026**	**1Q27E**	**2Q27E**	**3Q27E**	**4Q27E**	**2027E**	**2028E**
Security	53.7%	56.8%	65.2%	67.3%	62.9%	69.2%	67.8%	67.6%	67.0%	62.0%	67.2%	68.5%	69.8%	67.2%	67.3%
Healthcare	16.6%	14.2%	10.7%	9.5%	10.1%	7.6%	8.6%	8.9%	8.7%	9.9%	8.3%	8.0%	8.1%	8.5%	8.4%
Optoelectronics and Manufacturing	29.7%	29.0%	24.0%	23.2%	27.1%	23.3%	23.6%	23.5%	24.2%	28.0%	24.5%	23.5%	22.1%	24.3%	24.3%
Operating Margins	**2022**	**2023**	**2024**	**2025**	**1Q26**	**2Q26**	**3Q26**	**4Q26**	**2026**	**1Q27E**	**2Q27E**	**3Q27E**	**4Q27E**	**2027E**	**2028E**
Security	16.6%	16.8%	18.7%	18.5%	13.5%	17.8%	18.3%	20.8%	17.9%	14.0%	17.5%	18.5%	20.5%	18.0%	18.5%
Healthcare	12.4%	8.1%	4.7%	3.5%	6.0%	1.5%	1.3%	10.0%	4.9%	1.0%	3.5%	3.0%	8.5%	4.2%	7.0%
Optoelectronics and Manufacturing	13.1%	13.4%	13.1%	13.1%	11.9%	12.9%	13.5%	14.7%	13.3%	12.5%	13.0%	13.5%	14.9%	13.5%	13.8%
Consolidated O.M.	12.1%	12.3%	13.8%	14.1%	10.3%	14.0%	13.9%	17.7%	14.2%	10.1%	13.5%	14.4%	16.9%	14.0%	14.6%
Operating Profit Growth	**2022**	**2023**	**2024**	**2025**	**1Q26**	**2Q26**	**3Q26**	**4Q26**	**2026**	**1Q27E**	**2Q27E**	**3Q27E**	**4Q27E**	**2027E**	**2028E**
Security	3.5%	16.4%	52.9%	13.4%	6.3%	3.2%	2.4%	(5.4%)	0.5%	3.6%	(4.7%)	9.9%	15.5%	6.8%	8.9%
Healthcare	(21.3%)	(39.6%)	(47.9%)	(25.8%)	95.5%	(74.9%)	(75.8%)	1116.0%	34.1%	(83.4%)	165.4%	125.7%	(12.4%)	(13.0%)	77.1%
Optoelectronics and Manufacturing	13.5%	8.5%	(3.2%)	7.3%	11.5%	12.6%	6.2%	12.7%	10.7%	9.8%	6.0%	7.1%	8.5%	7.9%	8.4%
Total Operating Profit Growth	1.1%	10.6%	34.5%	13.5%	12.5%	3.6%	(0.4%)	7.6%	5.2%	(1.0%)	(3.9%)	11.8%	9.1%	4.8%	10.6%
Segment % of Profit	**2022**	**2023**	**2024**	**2025**	**1Q26**	**2Q26**	**3Q26**	**4Q26**	**2026**	**1Q27E**	**2Q27E**	**3Q27E**	**4Q27E**	**2027E**	**2028E**
Security	59.9%	65.5%	77.0%	78.7%	68.9%	79.9%	79.0%	76.5%	76.7%	70.7%	77.2%	78.8%	78.3%	76.9%	75.9%
Healthcare	13.9%	7.9%	3.2%	2.1%	4.9%	0.7%	0.7%	4.8%	2.8%	0.8%	1.9%	1.5%	3.8%	2.2%	3.6%
Optoelectronics and Manufacturing	26.2%	26.6%	19.8%	19.2%	26.2%	19.4%	20.3%	18.7%	20.6%	28.5%	20.9%	19.7%	18.0%	20.8%	20.5%
Total Segments % of Profit	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%
Incremental Margins	**2022**	**2023**	**2024**	**2025**	**1Q26**	**2Q26**	**3Q26**	**4Q26**	**2026**	**1Q27E**	**2Q27E**	**3Q27E**	**4Q27E**	**2027E**	**2028E**
Security	12.3%	18.5%	23.9%	17.1%	6.8%	4.2%	31.7%	14.9%	2.3%	NM	28.1%	21.4%	19.0%	20.3%	26.8%
Healthcare	103.6%	66.5%	38.8%	67.3%	32.8%	19.0%	55.9%	198.7%	(36.1%)	NM	24.0%	NM	(45.1%)	(21.3%)	64.0%
Optoelectronics and Manufacturing	34.0%	19.6%	53.0%	13.2%	11.5%	13.7%	8.7%	37.9%	14.9%	23.5%	15.5%	13.8%	18.0%	17.4%	18.8%
Total Incremental Margins	4.4%	15.8%	20.9%	16.4%	10.8%	5.1%	(2.8%)	(28.8%)	17.1%	(6.2%)	(1144.0%)	22.0%	11.7%	11.4%	24.1%

Source: Company Reports; Oppenheimer & Co. Estimates

OSI Systems, Inc.

Consolidated Annual Income Statement 2022-2028E

Christopher Glynn

For the years ended June 30 ($ in millions)

	2022	2023	2024	2025	2026	2027E	2028E
Net Sales	$1,183	$1,278	$1,539	$1,713	$1,786	$1,893	$2,010
Revenue Growth	3.2%	8.0%	20.4%	11.3%	4.3%	6.0%	6.1%
Cost of Goods Sold	759	848	1,008	1,126	1,193	1,265	1,339
Gross Profit	$424	$431	$530	$587	$593	$629	$671
Gross Margin	35.9%	33.7%	34.5%	34.3%	33.2%	33.2%	33.4%
Selling, General & Admin Expense	222	213	253	273	261	279	291
Research and Development	60	59	65	73	79	84	87
Impairment, Restructuring, and Other	-	-	-	-	-	-	-
Operating Profit	**$143**	**$158**	**$212**	**$241**	**$253**	**$266**	**$294**
Y-O-Y Change	1.1%	10.6%	34.5%	13.5%	5.2%	4.8%	10.6%
Operating Margin	12.1%	12.3%	13.8%	14.1%	14.2%	14.0%	14.6%
Interest and Other Expense, net	8	19	28	31	22	16	15
Pretax Income	**$134**	**$138**	**$184**	**$209**	**$231**	**$250**	**$279**
Income Taxes	30	32	43	49	53	60	67
Income Tax Rate	22.6%	22.8%	23.4%	23.2%	22.7%	23.9%	24.0%
Adjusted Net Income	**$104**	**$107**	**$141**	**$161**	**$179**	**$190**	**$212**
Net Margin	8.8%	8.4%	9.2%	9.4%	10.0%	10.0%	10.5%
Adjustments	11	(15)	(13)	(11)	(24)	(10)	(10)
Reported Net Income	**$115**	**$92**	**$128**	**$150**	**$155**	**$180**	**$202**
Adjusted EPS	**$5.81**	**$6.21**	**$8.13**	**$9.36**	**$10.35**	**$11.30**	**$12.60**
EPS Growth	9.2%	6.9%	30.9%	15.1%	10.5%	9.2%	11.5%
Reported Diluted EPS	**$6.45**	**$5.34**	**$7.38**	**$8.71**	**$8.95**	**$10.70**	**$12.00**
Diluted Share Outstanding	17.9	17.2	17.4	17.2	17.3	16.8	16.8

Source: Company Reports; Oppenheimer & Co. Estimates

OSI Systems, Inc.

Consolidated Quarterly Income Statement, 2026-2027E

Christopher Glynn

($ millions)

	2026					2027				
	1Q26	**2Q26**	**3Q26**	**4Q26**	**2026**	**1Q27E**	**2Q27E**	**3Q27E**	**4Q27E**	**2027E**
Net Sales	$385	$464	$453	$484	$1,786	$391	$464	$487	$551	$1,893
Revenue Growth	11.8%	10.5%	2.0%	(4.1%)	4.3%	1.7%	0.0%	7.5%	13.8%	6.0%
Cost of Goods Sold	261	312	303	316	1,193	264	311	325	364	1,265
Gross Profit	$123	$152	$150	$168	$593	$127	$153	$162	$186	$629
Gross Margin	32.0%	32.7%	33.2%	34.7%	33.2%	32.5%	32.9%	33.3%	33.8%	33.2%
Selling, General & Admin Expense	63	67	68	63	261	67	69	71	72	279
Research and Development	20.4	19.8	19.5	19.5	79.1	21.0	21.0	21.0	21.0	84.0
Impairment, Restructuring, and Other	-	-	-	-	-	-	-	-	-	-
Operating Profit	**$40**	**$65**	**$63**	**$86**	**$253**	**$39**	**$63**	**$70**	**$93**	**$266**
Y-O-Y Change	12.5%	3.6%	(0.4%)	7.6%	5.2%	(1.0%)	(3.9%)	11.8%	9.1%	4.8%
Operating Margin	10.3%	14.0%	13.9%	17.7%	14.2%	10.1%	13.5%	14.4%	16.9%	14.0%
Interest and Other Expense, net	7.4	6.4	4.0	4.1	21.9	4.0	4.0	4.0	4.0	16.0
Pretax Income	**$32**	**$59**	**$59**	**$81**	**$231**	**$35**	**$59**	**$66**	**$89**	**$250**
Income taxes	8	14	14	17	53	8	14	16	21	60
Income Tax Rate	23.3%	23.3%	23.7%	21.5%	22.7%	24.0%	24.0%	24.0%	23.7%	23.9%
Adjusted Net Income	**$25**	**$45**	**$45**	**$64**	**$179**	**$27**	**$45**	**$50**	**$68**	**$190**
Net Margin	6.5%	9.7%	9.9%	13.2%	10.0%	6.9%	9.6%	10.4%	12.4%	10.0%
Adjustments	(4)	(6)	(5)	(9)	(24)	(3)	(3)	(3)	(3)	(10)
Reported Net Income	**$21**	**$39**	**$40**	**$55**	**$155**	**$24**	**$42**	**$48**	**$66**	**$180**
Adjusted EPS	**$1.42**	**$2.58**	**$2.60**	**$3.78**	**$10.35**	**$1.60**	**$2.65**	**$3.00**	**$4.05**	**$11.30**
EPS Growth	13.9%	6.7%	6.6%	16.5%	10.5%	12.5%	2.6%	15.3%	7.2%	9.2%
Reported Diluted EPS	**$1.18**	**$2.22**	**$2.33**	**$3.27**	**$8.95**	**$1.45**	**$2.50**	**$2.85**	**$3.90**	**$10.70**
Diluted Share Outstanding	17.5	17.5	17.3	16.9	17.3	16.8	16.8	16.8	16.8	16.8

Source: Company Reports; Oppenheimer & Co. Estimates

OSI Systems, Inc.

Consolidated Balance Sheet, 2022-2026E

Christopher Glynn

For the years ended June 30 ($ in millions)

	2022	2023	2024	2025	2026
Assets					
Cash & Cash Equivalents	$64	$77	$95	$106	$360
Accounts Receivable	308	381	648	838	765
Inventories	334	338	398	407	416
Other Current Assets	40	44	74	72	72
Total Current Assets	746	840	1,216	1,423	1,612
Net Property & Equipment	110	109	114	127	130
Goodwill	336	350	351	387	407
Intangible Assets	138	141	140	183	192
Other Noncurrent Assets	113	116	116	121	162
Total Assets	**$1,443**	**$1,556**	**$1,936**	**$2,241**	**$2,502**
Liabilities & Shareholders' Equity					
Bank Lines of Credit	60	215	384	178	-
Current Portion of Long-Term Debt	245	8	8	8	3
Accounts Payable	125	139	191	205	169
Accrued Expenses	46	51	47	50	52
Advances from Customers	20	21	53	68	42
Other Current Liabilities	118	137	131	188	245
Total Current Liabilities	614	572	815	697	511
Long Term Debt	49	136	129	464	999
Deferred Income Taxes	11	7	3	3	3
Other Long-Term Liabilities	131	115	125	126	157
Total Liabilities	**$805**	**$830**	**$1,073**	**$1,290**	**$1,669**
Stockholders' Equity	**638**	**726**	**863**	**951**	**833**
Total Liabilities Plus Equity	**$1,443**	**$1,556**	**$1,936**	**$2,241**	**$2,502**

Balance Sheet Key Statistics	2022	2023	2024	2025	2026
Debt Ratios:					
Total Debt	$353	$360	$522	$650	$1,001
Total Cash	64	77	95	106	360
Net Debt	$289	$283	$426	$543	$641
Debt/Equity	45.9%	19.9%	15.9%	49.6%	120.2%
LT Debt/ Equity	7.6%	18.8%	15.0%	48.7%	119.9%
Net Debt/ Equity	35.9%	9.3%	4.9%	38.4%	77.0%
Net Debt/ Capital	26.4%	8.5%	4.7%	27.7%	43.5%
Book Value	638	726	863	951	833
Goodwill + Intangible Assets	475	490	491	571	599
Tangible Book Value	164	236	372	380	234
TBV/ Book Value	25.6%	32.5%	43.1%	40.0%	28.1%
Working Capital Ratios:					
Inventory Turnover (COGS/End Inv.)	2.3X	2.5X	2.5X	2.8X	2.9X
Avg. Days Inventory Days on Hand	161	146	144	132	127
Receivables Turnover (Sales/End Rec.)	3.8X	3.4X	2.4X	2.0X	2.3X
Avg. Days Receivables Outstanding	95	109	154	178	156
Payables Turnover (sales/ AP)	9.5X	9.2X	8.1X	8.3X	10.6X
Avg. Days Payables Outstanding	39	40	45	44	35
Cash Conversion Cycle	217	215	252	267	249
Trade Working Captal	$517	$580	$855	$1,040	$1,011
Trade WC/Sales	49.2%	39.4%	43.0%	62.3%	66.1%
Current Assets / Current Liability	1.2X	1.5X	1.5X	2.0X	3.2X

Source: Company Reports; Oppenheimer & Co. Estimates

OSI Systems, Inc.

Consolidated Statement of Cash Flows 2022-2026E

Christopher Glynn

For the years ended June 30 ($ in millions)

	2022	2023	2024	2025	2026
Cash Flows From Operations					
Net Income	$115	$92	$128	$150	$155
Depreciation & Amortization	39	39	42	44	42
Stock-based Compensation Expense	28	29	29	32	27
Deferred Income Taxes	4	(4)	(14)	(9)	
Amortization of Debt Discount and Issuance Costs	1	0	-	2	2
Impairment Charges	1				
Gain on Sale of Business	(27)				
Provision (Benefit) for Loss on Accounts Receivable	(6)	(4)	6	(1)	
Other	(1)	0	0	0	
Subtotal	153	152	191	217	226
Working Capital Adjustments:					
Accounts Receivable	(14)	(66)	(294)	(165)	73
Inventories	(45)	(0)	(57)	(10)	(8)
Prepaid Expenses & Other Assets	22	(5)	(32)	2	(0)
Accounts Payable	(15)	11	52	8	(36)
Accrued Payroll and Related Expenses	(2)	5	(5)	(1)	2.28
Advances from Customers	(18)	1	31	15	
Other	(18)	(2)	26	30	20
Net Change in Working Capital	(89)	(57)	(278)	(120)	50
Cash Flows From Operations	**$64**	**$95**	**($88)**	**$98**	**$276**
Cash Flows From Investing					
Acquisition of Property and Equipment	(15)	(16)	(22)	(24)	(31)
Purchases of CDs	(2)	(5)	-		
Proceeds from Maturities of CDs	0	4	10	0	
Acquisition of Businesses, net	(14)	(7)	(9)	(77)	
Net Proceeds from Sale of Business	34	0	1	0	
Payments for Intangible & Other Assets	(16)	(16)	(17)	(18)	(16)
Cash Flows From Investing	**($13)**	**($40)**	**($38)**	**($118)**	**($47)**
Cash Flows From Financing Activities					
Net Borrowings (Repayments) on Bank Lines of Credit	60	155	169	(206)	66
Proceeds from Long-Term Debt	50	101	1	341	
Payments on Long-Term Debt	(46)	(250)	(8)	(8)	-
Proceeds from Exercise of Stock Options	5	8	6	8	
Payments of Contingent Consideration	(2)	(4)	(1)	(0)	
Repurchases of Common Stock	(112)	(35)	-	(80)	(271)
Taxes Paid Related to Net Share Settlement of Equity Awards	(19)	(12)	(23)	(23)	(25)
Cash Flows From Financing Activities	**($64)**	**($37)**	**$144**	**$31**	**($229)**
Exchange Rate Effect	**(4)**	**(5)**	**(1)**	**0**	
Increase (Dec) in Cash & ST Investments	**($16)**	**$13**	**$19**	**$11**	**-**
Cash and Equivalents -B.O.Y.	81	64	77	95	106
Cash and Equivalents -E.O.Y.	64	77	95	106	106
Cash Flow Key Statistics					
FCF (CFO less CapEx)	49	79	(110)	74	245
FCF/ Adj. Net Income	47%	74%	(78%)	46%	137%
CAPEX/ Depreciation	39%	41%	52%	55%	73%
CAPEX/ Sales	1.3%	1.2%	1.4%	1.4%	1.7%

Source: Company Reports; Oppenheimer & Co. Estimates

ESG CONSIDERATIONS *

ESG Rating	C
ESG Rating Environment	C
ESG Rating Social	B-
ESG Rating Governance	C

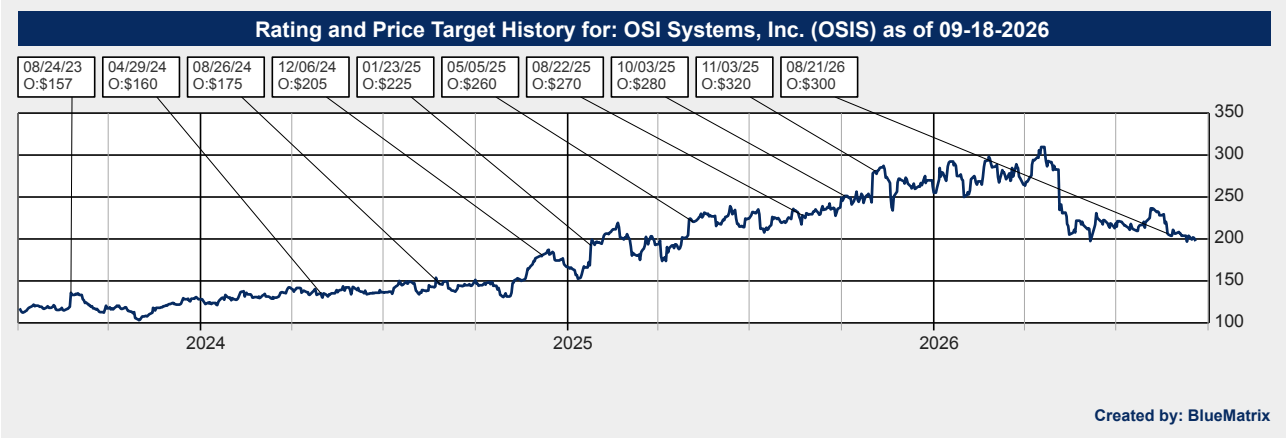
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			IB Serv/Past 12 Mos.	
Rating	Count	Percent	Count	Percent
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